

earnings, there is little attention being paid to the effect of specific inflation (by product line) on the bottom line. For example, what is the effect of inflation upon Texas Instruments as compared with, say, Procter & Gamble? Texas Instruments' major product line is declining in price while Procter & Gamble's is not. But are semiconductors, microprocessors, minicomputers, and calculators declining less in price than would be the case with lower inflation rates? How much less?

Inflation has turned every company into a growth company, at least in terms of reported earnings.

I was fortunate to have Professor Julius Grodinsky of the Wharton School as my first teacher in security analysis. He maintained that it is relatively simple to identify growing and declining industries by examining the price trends of their products. True growth industries, he maintained, are those that can produce growing earnings as a *result* of lower real prices for their products. Lower product prices widen markets and the wider markets produce lower unit costs of production. Industries that have matured need stable real prices while declining industries are constantly fighting for higher real prices. In my opinion, this is still a valid concept that needs to be used more by analysts in discerning growth from inflationary benefits and seeking to answer the question of whether there really is an inherent compound growth rate for a company or an industry or whether the past growth rate is an economic accident.

TOTAL RETURN-PERFORMANCE INVESTING

With the Merrill Lynch-University of Chicago study of the mid-1960's, it became fashionable to rationalize equity